

REPAYMENT SCHEDULE

(IN ₹ CRORE)



SOURCE: ADANI PRESENTATION

MONEY IN HAND

FREE CASH FLOW

₹37,538
CRORE

CASH BALANCE

₹40,351
CRORE

TOTAL

₹77,889
CRORE

DATA AS OF MARCH 2023 SOURCE: ADANI PRESENTATION



“There will be more equity dilution if they [the Adani Group] plan to grow at the same pace as earlier. It’s a Catch-22 situation [for them]. If growth slows down, the valuations will correct further”

**AMBAREESH
BALIGA**
STOCK ADVISOR

ConneX secured \$213 million in financing from over half-a-dozen foreign banks. This money will be used for data projects in Chennai (with 17 MW capacity) and Noida (50 MW). It has acquired land for data centres in Navi Mumbai and Visakhapatnam, while the Noida and Hyderabad ones are almost 30 per cent complete.

Adani Road Transport, meanwhile, remains on the sidelines of bidding for projects. The company claims that the 64-km Ganga Expressway Project in Uttar Pradesh has achieved financial closure. In June, the company with a roads portfolio of ₹40,000 crore decided to walk out of Macquarie’s ₹3,110-crore toll roads project deal.

AEL’s biggest bet is green hydrogen (through AEL subsidiary Adani New Industries Ltd, or ANIL), where it is setting up an ecosystem—from generation of green hydrogen, downstream products (ammonia and urea), to manufacturing of supply chain products like wind turbines, batteries, and electrolyzers. CARE Ratings says the company has decided to defer the large-scale capex plan in green hydrogen till market and investment appetites have revived. There has been a downward revision in capex plans to optimise capital. “[But overall] we remain on target. ANIL is nearly

mid-way through completing our integrated manufacturing facility for green hydrogen,” says Singh.

Balancing the Energy Mix

Today, Adani Green Energy Ltd (AGEL) has the largest operating renewable energy portfolio with 8.1 gigawatt (GW) of capacity, with a target of 45 GW by 2030. It plans to add 3 GW of capacity this year, matching last year’s addition. It has lined up a capex of ₹14,000 crore, while in July the AGEL board cleared a proposal to raise ₹12,300 crore of equity share capital. “[The] Adanis are efficient; for example, they get paid in 60 days versus 260 [days] for a competitor. Given their efficiencies, it is our view that the company will generate higher returns,” says GQG’s Jain.

In terms of revenue visibility, there is a 25-year fixed-tariff power purchase agreement (PPA) with an average portfolio tariff of ₹2.98 per unit. Analysts, however, are wary of AGEL’s valuation, which is 32 times its book even after correction. “The company’s equity will be continuously recycled, as the cash flow generated each year will serve as an equity contribution for the next project. As a result, the return on equity is expected to keep expanding,” explains Vinit